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11 **UNITED STATES DISTRICT COURT**
12 **NORTHERN DISTRICT OF CALIFORNIA**
13 **SAN JOSE DIVISION**
14

15 SECURITIES AND EXCHANGE COMMISSION,
16 Plaintiff,
17 vs.
18 YOUPPLUS, INC. and SHAUKAT SHAMIM,
19 Defendants.
20

Case No. 5:20-cv-04855-BLF

**[PROPOSED] FINAL
JUDGMENT AS TO
DEFENDANT SHAUKAT
SHAMIM**

1 The Securities and Exchange Commission having filed a Complaint and Defendant
 2 Shaukat Shamim (“Defendant”) having entered a general appearance; consented to the Court’s
 3 jurisdiction over Defendant and the subject matter of this action; consented to entry of this Final
 4 Judgment; waived findings of fact and conclusions of law; and waived any right to appeal from
 5 this Final Judgment:

6 **I.**

7 IT IS HEREBY ORDERED, ADJUDGED, AND DECREED that Defendant is
 8 permanently restrained and enjoined from violating, directly or indirectly, Section 10(b) of the
 9 Securities Exchange Act of 1934 (the “Exchange Act”) [15 U.S.C. § 78j(b)] and Rule 10b-5
 10 promulgated thereunder [17 C.F.R. § 240.10b-5], by using any means or instrumentality of
 11 interstate commerce, or of the mails, or of any facility of any national securities exchange, in
 12 connection with the purchase or sale of any security:

- 13 (a) to employ any device, scheme, or artifice to defraud;
 - 14 (b) to make any untrue statement of a material fact or to omit to state a material fact
 15 necessary in order to make the statements made, in the light of the circumstances
 16 under which they were made, not misleading; or
 - 17 (c) to engage in any act, practice, or course of business which operates or would
 18 operate as a fraud or deceit upon any person
- 19 by, directly or indirectly, (i) creating a false appearance or otherwise deceiving any person, or
 20 (ii) disseminating false or misleading documents, materials, or information or making, either
 21 orally or in writing, any false or misleading statement in any communication with any investor
 22 or prospective investor, about: (A) any investment in or offering of securities, (B) the prospects
 23 for success of any product or company, (C) the use of investor funds, or (D) the
 24 misappropriation of investor funds or investment proceeds.

25 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as provided in
 26 Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also binds the following who
 27 receive actual notice of this Final Judgment by personal service or otherwise: (a) Defendant’s
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officers, agents, servants, employees, and attorneys; and (b) other persons in active concert or participation with Defendant or with anyone described in (a).

II.

IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that Defendant is permanently restrained and enjoined from violating Section 17(a) of the Securities Act of 1933 (the “Securities Act”) [15 U.S.C. § 77q(a)] in the offer or sale of any security by the use of any means or instruments of transportation or communication in interstate commerce or by use of the mails, directly or indirectly:

- (a) to employ any device, scheme, or artifice to defraud;
 - (b) to obtain money or property by means of any untrue statement of a material fact or any omission of a material fact necessary in order to make the statements made, in light of the circumstances under which they were made, not misleading; or
 - (c) to engage in any transaction, practice, or course of business which operates or would operate as a fraud or deceit upon the purchaser
- by, directly or indirectly, (i) creating a false appearance or otherwise deceiving any person, or (ii) disseminating false or misleading documents, materials, or information or making, either orally or in writing, any false or misleading statement in any communication with any investor or prospective investor, about: (A) any investment in or offering of securities, (B) the prospects for success of any product or company, (C) the use of investor funds, or (D) the misappropriation of investor funds or investment proceeds.

IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, as provided in Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraph also binds the following who receive actual notice of this Final Judgment by personal service or otherwise: (a) Defendant’s officers, agents, servants, employees, and attorneys; and (b) other persons in active concert or participation with Defendant or with anyone described in (a).

1 **III.**

2 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that, pursuant to Section
3 21(d)(2) of the Exchange Act [15 U.S.C. § 78u(d)(2)] and Section 20(e) of the Securities Act
4 [15 U.S.C. § 77t(e)], Defendant is prohibited from acting as an officer or director of any issuer
5 that has a class of securities registered pursuant to Section 12 of the Exchange Act [15 U.S.C.
6 § 78l] or that is required to file reports pursuant to Section 15(d) of the Exchange Act [15
7 U.S.C. § 78o(d)].

8 **IV.**

9 IT IS HEREBY FURTHER ORDERED, ADJUDGED, AND DECREED that
10 Defendant is liable for disgorgement of \$847,401.46, representing his ill-gotten gains as a result
11 of the conduct alleged in the Complaint, and prejudgment interest thereon of \$23,330.22, for a
12 total of \$870,731.68, which shall be deemed satisfied by the order of restitution entered against
13 him in *United States v. Shaukat Shamim*, Case No. 3:22-cr-00227-JD (N.D. Cal.) (Dkt. No.
14 144).

15 **V.**

16 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that the Consent of
17 Defendant Shaukat Shamim is incorporated herein with the same force and effect as if fully set
18 forth herein, and that Defendant shall comply with all of the undertakings and agreements set
19 forth therein.

20 **VI.**

21 IT IS FURTHER ORDERED, ADJUDGED, AND DECREED that this Court shall
22 retain jurisdiction of this matter for the purposes of enforcing the terms of this Final Judgment.

23
24 IT IS SO ORDERED.

25
26 Dated: _____

27 Honorable Beth Labson Freeman
28 UNITED STATES DISTRICT JUDGE